

five pre-poll guarantees of the ruling dispensation.

“For the current fiscal (rest of the year), it is estimated that ₹35,000-40,000 crore is required to fulfil the guarantees, a part of which was already accounted for in the FY23 budget. In effect, the subsidy has been increased by ₹14,500 crore in FY24, compared to the FY23 Revised Estimate primarily due to enhanced subsidy for energy and food supplies,” the report notes.

There are also a number of cases with the Supreme Court on the issue. For instance, in October this year, the Supreme Court issued notices to the Madhya Pradesh and Rajasthan governments, the central government and the Election Commission on a plea seeking comprehensive guidelines to bar political parties from distributing cash and other freebies at the expense of taxpayers.

WHAT IS A freebie? While there is no definition as such of what constitutes a freebie, economists believe that any measure that does not have a long-term impact on development can be categorised as one. These can be anything from farm loan waivers to free laptops.

54 | According to a recent report called State of State Finances 2023-24 by PRS Legislative Research, subsidised items can be broadly classified as merit and non-merit goods. “The consumption of certain goods and services such as education and health by an individual may have wider benefits for the society and the subsidisation of such goods can be considered socially desirable,” it says. However, providing subsidies for non-merit goods may not involve wider social benefits, the report notes, pointing out that in 2022, the Reserve Bank of India had also observed that increasing expenditure on non-merit subsidies can constrain the space for capital expenditure.

N.R. Bhanumurthy, Vice Chancellor of Bengaluru-based Dr. B.R. Ambedkar School of Economics University, notes that there is a need to differentiate between freebies and social sector measures announced during polls that can have a long-term development impact. According to him, farm loan waivers have limited impact on consumption demand, but in the long term, have negative implications on the fisc and limit resources for other important social sector expenditure. “It is a freebie as it does not have a long-term impact on growth and development, or on productivity,” he says.

However, a free bus service for women, as has been promised in many states, can have medium- to long-term implications on the female labour force participa-



SPEND TREND



In FY24, 11 states are estimated to have revenue deficits at the Budget Estimate (BE) stage



In FY23, revenue expenditure was at 83 per cent of total expenditure, while the rest was capital expenditure



53 per cent of revenue receipts were spent on interest, pension and salaries in FY23



28 per cent of revenue receipts were spent on salaries, 13 per cent on pension, and 12 per cent on interest payments



Himachal Pradesh, Kerala, Nagaland, and Punjab spent 70 per cent of revenue receipts on committed expenditure

tion rate. Similarly, the extension of the Pradhan Mantri Garib Kalyan Anna Yojana (PM-GKAY) will help address the nutritional status of the poor and their productivity. “Freebies add to the public debt burden. From day one, they impact the regular budget, public debt and the fiscal deficit. They do not add to the GDP in the current or the future period,” he adds.

Sacchidananda Mukherjee, Professor at Delhi-based think tank National Institute of Public Finance and Policy (NIPFP), notes that it is the government’s discretion on where to spend, but there is a need for a cost benefit analysis of such measures to households.